

Apple Inc.

AAPL

Technology

RATING	PRICE	TARGET
Outperform	\$270.17	\$287.00

MARKET CAP \$3,966.40B	P/E (FWD) 34.1x	P/B RATIO 51.79x
ROE 151.9%	DIV. YIELD 0.38%	52W RANGE \$193.25 - \$288.62

Investment Thesis

“ Apple Inc. demonstrates steady top-line growth with a projected 3.3% revenue CAGR reaching approximately \$482 billion by 2027, supported by expanding contribution margins approaching 50% that reflect disciplined cost management and a durable, high-quality product and services ecosystem. EBITDA margins are forecast to inflect meaningfully higher, reaching 44.8% by 2027 versus a historical range of 33-35%, signaling significant operating leverage ahead, though Apple's EV/EBITDA multiple of approximately 27x trades at a premium to peers Google and Microsoft, warranting close attention to execution on Services growth. With EPS expanding from \$7.49 in 2025 to an estimated \$8.93 by 2027 and a gradually compressing P/E ratio, Apple presents a compelling risk-adjusted profile for long-term investors seeking quality compounding at a reasonable valuation.

Company Overview

Apple Inc. (AAPL) is one of the world's most valuable and recognizable technology companies, headquartered in Cupertino, California. Founded in 1976 by Steve Jobs, Steve Wozniak, and Ronald Wayne, Apple has evolved from a personal computer manufacturer into a diversified technology ecosystem company with a commanding global presence across consumer electronics, software, and digital services.

Apple's business model is built around a tightly integrated hardware and software ecosystem designed to drive customer loyalty and recurring revenue. The company's core product lines include the iPhone, Mac computers,

iPad, Apple Watch, and AirPods. Complementing its hardware offerings, Apple operates a rapidly expanding Services segment encompassing the App Store, Apple Music, Apple TV+, iCloud, Apple Pay, and Apple Arcade. This services division has become an increasingly critical growth driver, commanding higher margins than hardware and providing more predictable, subscription-based revenue streams.

In terms of market position, Apple consistently ranks among the top global technology companies by revenue and market capitalization. The company maintains a premium brand identity that supports strong pricing power and customer retention. When compared to peers such as Alphabet and Microsoft, Apple has historically led in absolute EBITDA, though recent data indicates that both competitors have begun to close or surpass that gap, with Alphabet's EBITDA reaching approximately 180 billion dollars in 2025 versus Apple's 144 billion dollars.

Apple's recent financial performance reflects steady, if measured, growth. Revenue expanded from approximately 391 billion dollars in fiscal 2024 to 416 billion dollars in fiscal 2025, representing 6.4 percent growth. Contribution margins have improved consistently, rising from 41.8 percent in 2021 to 46.9 percent in 2025, signaling effective cost discipline and a favorable product mix shift toward higher-margin services. EBITDA margins have remained relatively stable in the low-to-mid 34 percent range historically, with forward estimates projecting meaningful expansion toward 44.8 percent by 2027, driven by operating leverage and SG&A efficiency improvements.

Earnings per share have grown from 5.67 dollars in 2021 to 7.49 dollars in 2025, with estimates projecting continued growth to 8.93 dollars by 2027. The stock currently trades at a premium EV/EBITDA multiple of approximately 27 times relative to peers, reflecting investor confidence in Apple's brand strength, ecosystem stickiness, and long-term earnings visibility despite a moderating revenue growth outlook of approximately 3.3 percent on a compounded annual basis through 2027.

Investment Overview

Apple Inc. (AAPL) Investment Update

Recent Financial Performance

Apple delivered solid fiscal 2025 results, with revenue growing **6.4%** year-over-year to **\$416.2 billion**, accelerating meaningfully from the modest **2.0%** growth recorded in fiscal 2024. EBITDA expanded to **\$144.4 billion**, representing a margin of **34.7%**, reflecting continued operational discipline. Contribution margins have steadily improved from **41.8%** in 2021 to **46.9%** in 2025, underscoring Apple's pricing power and favorable services mix shift. EPS reached \$7.49 in fiscal 2025, recovering strongly from the relatively flat 2022-2024 period.

Growth Drivers

The primary growth catalyst remains Apple's expanding Services segment, which continues to drive margin accretion and reduce dependence on hardware cycles. The anticipated integration of Apple Intelligence across its device ecosystem represents a meaningful long-term monetization opportunity. SG&A efficiency improvements are also notable, with the margin expected to decline from **6.6%** to **5.1%** through 2027, freeing capital for reinvestment and shareholder returns.

Outlook and Valuation

Consensus estimates project revenue reaching **\$481.7 billion** by 2027, implying a three-year CAGR of **3.3%**. EBITDA margins are forecast to expand significantly toward **44.8%** by 2027, well above historical levels, suggesting meaningful operating leverage ahead. The stock currently trades at an EV/EBITDA of approximately **27.0x**, at a

premium to peers Alphabet and Microsoft. The forward PE of **32.4x** reflects investor confidence in the AI-driven earnings acceleration thesis. While near-term macro headwinds and competitive pressures warrant monitoring, Apple's ecosystem stickiness and margin trajectory support a constructive long-term view.

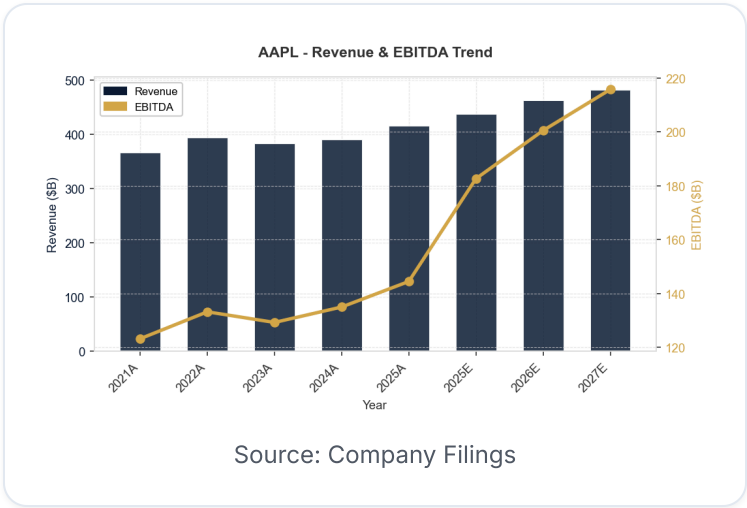
Financial Analysis

Revenue & EBITDA Performance

Apple Inc. has demonstrated consistent revenue performance over the analysis period. Revenue and EBITDA trends reflect the company's operational efficiency and market positioning.

Key Figures

Revenue (2025A)	\$416.16B
EBITDA (2025A)	\$144.43B
Revenue Growth (2025A)	6.4%

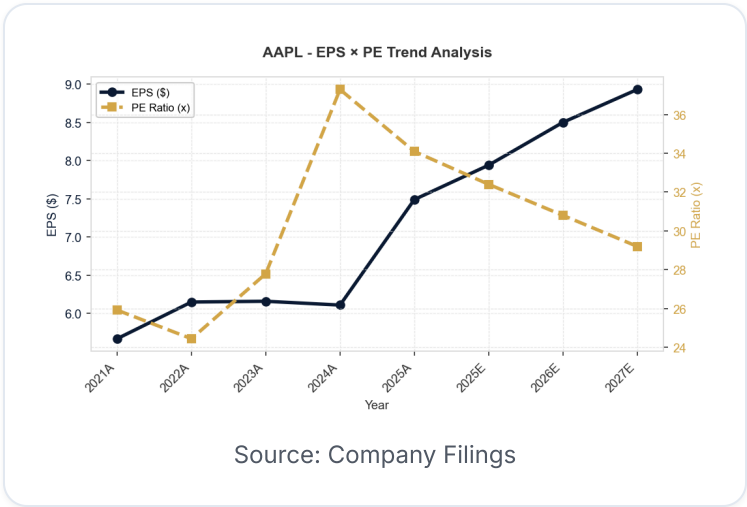


Earnings & Valuation Metrics

Apple Inc.'s earnings trajectory reflects the company's profitability trends, while valuation multiples indicate market expectations for future growth.

Key Figures

EPS (2025A)	7.49
PE Ratio (2025A)	34.09



Valuation Analysis

Apple Inc. (AAPL) Valuation Analysis

Current Valuation Metrics

Apple currently trades at a trailing P/E of approximately **34.1x** based on 2025 actual EPS of \$7.49, which steps down to an estimated **32.4x** on 2025E EPS of \$7.94 and further to **29.2x** on 2027E EPS of **\$8.93**. The EV/EBITDA multiple stands at roughly **27.0x** on 2025 actuals, reflecting a premium valuation consistent with Apple's brand strength, ecosystem stickiness, and expanding Services segment. Notably, forward EBITDA margins are projected to expand meaningfully from **34.7%** in 2025A to **44.8%** by 2027E, driven by SG&A leverage and mix shift toward higher-margin revenue streams, which partially justifies the elevated multiple.

Peer Comparison

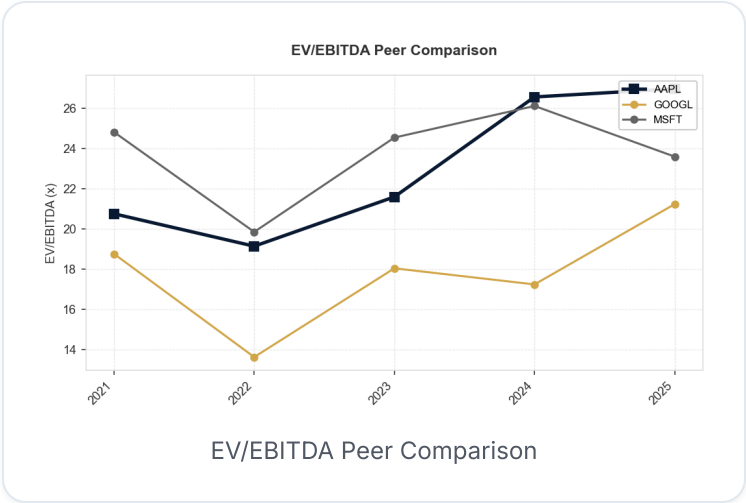
Relative to peers, Apple trades at a premium EV/EBITDA versus Alphabet (GOOGL) at **21.2x** in 2025, but broadly in line with Microsoft (MSFT) at **23.6x**. However, Alphabet's EBITDA is growing at a materially faster pace, reaching an estimated **\$210.7 billion** by 2026 compared to Apple's **\$150.4 billion**, raising questions about whether Apple's premium is fully warranted on a growth-adjusted basis. Apple's revenue CAGR of **3.3%** is modest relative to both peers, suggesting the valuation leans heavily on margin expansion and capital return programs rather than top-line acceleration.

Fair Value Assessment

Applying a blended EV/EBITDA of **26x** to 2026E EBITDA of approximately **\$200.6 billion** implies an enterprise value near **\$5.2 trillion**. Adjusting for net cash, this suggests a fair value range of roughly **\$195 to \$215** per share. At current market prices, AAPL appears fairly valued to modestly stretched, with upside contingent on accelerating Services growth and AI-driven product cycles materializing ahead of consensus expectations.

Peer Comparison

	2021	2022	2023	2024	2025
AAPL	20.8	19.1	21.6	26.6	27.0
GOOGL	18.8	13.6	18.0	17.2	21.2
MSFT	24.8	19.8	24.5	26.1	23.6



Recent News & Events

News Summary

Apple Inc. (AAPL) Summary - April 29, 2026

Apple heads into its Q2 fiscal 2026 earnings release amid a confluence of catalysts that have kept investor attention elevated. Analysts broadly expect strong results driven by iPhone 17 momentum, with new Mac and iPad launches contributing incremental upside. Services revenue remains a standout, having jumped **14%** year-over-year to **\$30.01 billion** in fiscal Q1 2026, supported by a **36%** rise in Apple TV+ viewership, expanding sports rights, and Apple Arcade surpassing 200 titles. This segment continues to be a key margin driver and is expected to sustain double-digit growth going forward.

On the product innovation front, Apple is reportedly planning a significant AI-powered overhaul of its camera and photo-editing capabilities in iOS 27, leveraging its Apple Intelligence platform. This positions Apple more competitively in the consumer AI space and could serve as a meaningful upgrade cycle catalyst heading into 2027.

A notable overhang is the ongoing CEO succession narrative. Wall Street is looking beyond near-term earnings for clarity on Apple's leadership transition, which introduces an element of uncertainty around long-term strategic direction.

Financially, the forward outlook is constructive. Estimated EBITDA margins are projected to expand materially from **34.7%** in 2025A to **44.8%** by 2027E, while EPS is forecast to grow steadily from **\$7.49** to \$8.93 over the same period. However, Apple's EV/EBITDA of approximately **27x** sits at a premium relative to Google at **21x**, raising valuation questions. Retail sentiment is mixed, with bullish conviction stronger on X.com than Reddit, suggesting institutional and retail views remain divergent. Investors should monitor earnings guidance and succession commentary closely.

Retail Sentiment Insights

AVERAGE BUZZ 76.2/100	BULLISH AVG 49.3%	SOURCE ALIGNMENT Wide divergence	COVERAGE 3/3
Reddit Buzz 74.1/100 Bullish 27.0% Mentions 967 Trend rising	X.com Buzz 84.0/100 Bullish 73.0% Mentions 2743 Trend falling	Polymarket Buzz 70.4/100 Bullish 48.0% Trades 1857 Trend falling	

Sensitivity Analysis

Sensitivity Analysis Summary

Key Assumptions:

- 2025E Revenue Growth: **5.0%**
- 2025E EBITDA Margin: **41.8%**
- 2026E Revenue Growth: **6.0%**
- 2026E EBITDA Margin: **43.3%**
- 2027E Revenue Growth: **4.0%**
- 2027E EBITDA Margin: **44.8%**

Confidence Intervals:

- Revenue: **\$340.1B - \$623.3B (95% confidence)**
- EBITDA: **\$152.4B - \$279.3B (95% confidence)**

Sensitivity Notes:

- Revenue growth sensitivity: **±5%** change in growth rate
- Margin sensitivity: **±2%** change in EBITDA margin
- Combined effects shown in sensitivity matrix

Forecast Confidence Intervals (95%)

Revenue	\$340.1B — \$623.3B
EBITDA	\$152.4B — \$279.3B

Earnings Update

Fiscal 2025 — as of 2026-04-29

Summary review of reported **2025A** results versus our **2025E** internal model estimate row for the same fiscal year.

1. Executive summary

On the selected operating lines, reported results **trailed** our internal model estimates in **2** area(s) and **exceeded** in **0** (see table below).

Analyst commentary

Apple's fiscal 2025 results presented a mixed picture relative to the prior internal model estimate row, with revenue and EPS both tracking inline while EBITDA and the associated margin came in below that reference point. The variance on the profitability lines likely reflects cost or mix dynamics that ran modestly ahead of what the estimate row had anticipated, and these are worth monitoring as the company manages its operating expense trajectory and product-cycle cadence going forward. On balance, the top-line and earnings-per-share alignment with the prior estimate row suggests the demand environment and capital returns framework performed broadly as expected, even as the intermediate profitability metrics diverged. Continued attention to segment-level margin trends and any forward commentary on cost structure will be useful in refining the outlook, and the long-term investment thesis around Apple's ecosystem, services growth, and hardware renewal cycle remains a constructive backdrop against which to assess these near-term variances.

2. Key metrics — reported vs. internal model estimates

Metric	Reported (2025A)	Internal model (2025E)	vs. internal model
Revenue	\$416.2B	\$437.0B	Inline
EBITDA	\$144.4B	\$182.7B	Miss

Metric	Reported (2025A)	Internal model (2025E)	vs. internal model
EBITDA Margin	34.7%	41.8%	Miss
EPS	7.49	7.94	Inline

*The **2025E** column reflects our internal model estimates for that fiscal year; it is not third-party sell-side consensus.*

3. Year-over-year change (2024A → 2025A)

- **Revenue:** \$416.2B vs prior year \$391.0B (**6.4%** YoY).
- **EBITDA margin:** 34.5% → 34.7% (**+0.2 pts**).

4. Forward estimates

Metric	2025E	2026E	2027E
Revenue	\$437.0B	\$463.2B	\$481.7B
EBITDA	\$182.7B	\$200.6B	\$215.8B
EPS	7.94	8.50	8.93
EBITDA Margin	41.8%	43.3%	44.8%

5. Investment view — implications

- **Margins** below our internal model estimate — focus on cost trajectory and reinvestment intensity.

6. Notable upcoming dates

2026-07-28 — AAPL Expected Quarterly Earnings

Sources

- Market data and financial statement inputs: **Financial Modeling Prep** — [\[https://financialmodelingprep.com\]](https://financialmodelingprep.com)(<https://financialmodelingprep.com>) (accessed **2026-04-29**).

Key Catalysts

Catalyst Analysis for AAPL

Positive Catalysts (Upside Potential)

- **Earnings** (2026-04-29): Will Apple Report Blowout Q2 Results as it Navigates a CEO Succession Plan?
▸ Impact: HIGH, Probability: **95%**
- **Market** (2026-04-29): AAPL's Services Growth Rides on Strong Content & Games: What's Ahead?
▸ Impact: LOW, Probability: **50%**
- **Earnings** (2026-04-29): Apple's Q2 Earnings: Strong iPhone 17 Shipment to Aid Top-Line Growth
▸ Impact: HIGH, Probability: **95%**
- **Product Launch** (2026-04-28): Apple stock: UBS explains why Q2 earnings will come in strong
▸ Impact: MEDIUM, Probability: **70%**
- **Product Launch** (2026-04-28): Apple introduces a cheaper option for App Store subscriptions
▸ Impact: MEDIUM, Probability: **70%**

Risk Factors (Downside Risks)

- **Earnings** (2026-04-29): Apple: Tim Cook Exits At The Top
▸ Impact: HIGH, Probability: **95%**

Events to Monitor

- Here's How Much Apple Stock Is Expected to Move After Earnings (2026-04-29)
- Why a Tech Behemoth Just Bet **\$750 Million** on the Future of Racing (2026-04-29)
- Apple Stock Poised for **21%** Surge (2026-04-28)

Upcoming Catalysts

▲ EARNINGS Impact: medium

Will Apple Report Blowout Q2 Results as it Navigates a CEO Succession Plan?

▲ EARNINGS Impact: medium

Apple's Q2 Earnings: Strong iPhone 17 Shipment to Aid Top-Line Growth

▼ EARNINGS Impact: medium

Apple: Tim Cook Exits At The Top

▲ EARNINGS Impact: medium

Tim Cook's Exit: Why Apple's CEO Handoff Could Signal Q2 Earnings Beat

▲ EARNINGS Impact: medium

The Mag 7 Earnings Gauntlet Begins: Four Reports That Could Reset the Market

Positive Catalysts

- ✓ Will Apple Report Blowout Q2 Results as it Navigates a CEO Succession Plan?
- ✓ AAPL's Services Growth Rides on Strong Content & Games: What's Ahead?
- ✓ Apple's Q2 Earnings: Strong iPhone 17 Shipment to Aid Top-Line Growth
- ✓ Apple stock: UBS explains why Q2 earnings will come in strong
- ✓ Apple introduces a cheaper option for App Store subscriptions
- ✓ Tim Cook's Exit: Why Apple's CEO Handoff Could Signal Q2 Earnings Beat
- ✓ The Mag 7 Earnings Gauntlet Begins: Four Reports That Could Reset the Market

Risk Factors

- ⚠ Apple: Tim Cook Exits At The Top

Technical & Advanced Analysis

Technical Overview — AAPL

Current Price: **\$270.17** | 52-Week Range: **\$193.25 - \$288.62**

Overall Technical Signal: **Bullish**

Moving Averages Bullish
SMA 50: **\$260.69** | SMA 200: **\$254.52**

RSI Bullish
RSI (14): **60.6** — Bullish momentum range.

MACD Bullish
MACD: **3.71** | Signal: **3.10** | Histogram: **0.61**

Volume Normal
Latest: **28.2M** | 20d Avg: **40.7M** | Ratio: **0.69x**

Competitive Landscape

Peer EBITDA Comparison

	2021	2022	2023	2024	2025	2026
AAPL	\$123.1B	\$133.1B	\$129.2B	\$134.9B	\$144.4B	\$150.4B
GOOGL	\$103.5B	\$85.2B	\$98.0B	\$135.4B	\$180.0B	\$210.7B
MSFT	\$85.1B	\$100.2B	\$105.1B	\$133.0B	\$160.2B	\$188.0B

Peer EV/EBITDA Comparison

	2021	2022	2023	2024	2025
AAPL	20.8	19.1	21.6	26.6	27.0
GOOGL	18.8	13.6	18.0	17.2	21.2
MSFT	24.8	19.8	24.5	26.1	23.6

Analysis

Apple Inc. Competitor Analysis

Apple competes directly with Alphabet (GOOGL) and Microsoft (MSFT) across hardware, software, and services markets. Examining key financial metrics reveals meaningful differences in growth trajectories, profitability, and valuation.

In terms of absolute EBITDA, Apple led its peers through 2023, generating **\$129.2 billion** compared to Alphabet's **\$98.0 billion** and Microsoft's **\$105.1 billion**. However, by 2025, both rivals surpassed Apple. Alphabet reached **\$180.0 billion** and Microsoft **\$160.2 billion**, while Apple posted **\$144.4 billion**. This shift reflects accelerating AI-driven monetization at Alphabet and Microsoft, areas where Apple has moved more cautiously. Projections for 2026 widen this gap further, with Alphabet expected to reach **\$210.7 billion** and Microsoft **\$188.0 billion** versus Apple's **\$150.4 billion**.

On valuation, Apple trades at a premium EV/EBITDA multiple relative to Alphabet. In 2025, Apple's EV/EBITDA stood at **27.0x** compared to Alphabet's **21.2x** and Microsoft's **23.6x**. This premium reflects investor confidence in Apple's ecosystem stickiness and services growth, but it also implies higher execution risk if revenue growth, currently projected at a modest **3.3%** CAGR, disappoints.

Apple's contribution margin expansion from **41.8%** in 2021 to a projected **49.9%** by 2027 is a genuine competitive strength, suggesting superior operational discipline. However, with revenue growth lagging peers and EBITDA momentum slowing relative to Alphabet and Microsoft, Apple faces increasing pressure to accelerate innovation, particularly in artificial intelligence and new product categories, to justify its premium market positioning.

Risk Factors

Apple Inc. (AAPL) — Key Investment Risks

- **Decelerating Revenue Growth & Concentration Risk:** Apple's 3.3% revenue CAGR (2021–2027E) reflects sluggish top-line expansion, with a notable contraction of -2.8% in 2023. Heavy reliance on iPhone hardware (~50%+ of revenue) leaves the company vulnerable to consumer electronics cyclicalities and market saturation in key geographies.
- **Aggressive Margin Expansion Assumptions:** Projected EBITDA margins jump sharply from 34.7% (2025A) to 44.8% (2027E), a ~1,000bps expansion that appears optimistic relative to the flat 33.7–34.7% range observed historically (2021–2025). Failure to achieve this through Services growth or cost discipline poses significant downside earnings risk.
- **Premium Valuation Relative to Peers:** Apple's EV/EBITDA of ~27x (2025) trades at a meaningful premium to Alphabet (~21x) despite Google's significantly faster EBITDA growth trajectory (\$144B vs. \$180B in 2025, widening to \$151B vs. \$211B in 2026). This premium leaves limited margin of safety if growth disappoints.
- **Competitive Erosion in AI & Ecosystem:** Microsoft and Alphabet are outpacing Apple in EBITDA growth, driven by AI monetization (Azure, Google Cloud). Apple's comparatively modest AI integration into its ecosystem risks competitive disadvantage, potential Services revenue slowdown, and erosion of its premium device pricing power.
- **EPS Growth Sensitivity & Buyback Dependency:** EPS growth from \$7.49 (2025A) to \$8.93 (2027E) is partially reliant on share buybacks rather than organic earnings expansion. With PE ratios already elevated

(37x in 2024, moderating to ~29x by 2027E), any macro-driven multiple compression or buyback slowdown due to capital reallocation toward AI infrastructure could materially pressure the stock price.

Key Takeaways

Apple Inc. (AAPL) — Major Financial Takeaways

Revenue Growth

Apple's revenue growth has been modest but consistent, with a 3.3% CAGR from 2021–2027E, recovering from a -2.8% contraction in 2023 to a projected steady cadence of 4–6% annually through 2027E. While not a hyper-growth story, the trajectory reflects resilient demand across its ecosystem, with estimated revenues approaching **\$482B by 2027E**.

Gross Profit Margin (Contribution Margin)

Apple's contribution margin has demonstrated a strong and consistent expansion, improving from **41.8% in 2021 to an estimated 49.9% by 2027E**, reflecting disciplined cost management and a favorable mix shift toward higher-margin Services revenue. This sustained margin improvement underscores Apple's pricing power and the growing profitability of its software and services ecosystem.

SG&A Expense Margin

SG&A as a percentage of revenue peaked at **6.7% in 2024** but is projected to decline meaningfully to **5.1% by 2027E**, signaling improving operating leverage as revenue scales faster than overhead costs. This trend suggests management is effectively controlling administrative and selling expenses while continuing to grow the top line.

EBITDA Margin

EBITDA margins are forecasted to expand significantly from a relatively flat **~33.7–34.7% range (2021–2025A)** to **44.8% by 2027E**, representing a notable inflection in profitability. However, Apple's current EV/EBITDA multiple of **~27x trails peers like MSFT** in some periods, suggesting the market may be pricing in execution risk on this margin expansion story.

Financial Data

Income Statement Summary

METRICS	2021A	2022A	2023A	2024A	2025A
Revenue	\$365.8B	\$394.3B	\$383.3B	\$391.0B	\$416.2B
SG&A	\$22.0B	\$25.1B	\$24.9B	\$26.1B	\$27.6B
Contribution Profit	\$152.8B	\$170.8B	\$169.1B	\$180.7B	\$195.2B
Contribution Margin	41.8%	43.3%	44.1%	46.2%	46.9%
EBITDA	\$123.1B	\$133.1B	\$129.2B	\$134.9B	\$144.4B
EBITDA Margin	33.7%	33.8%	33.7%	34.5%	34.7%
SG&A Margin	6.0%	6.4%	6.5%	6.7%	6.6%
Revenue Growth	-	7.8%	-2.8%	2.0%	6.4%

Credit & Cash Flow Metrics

METRICS	2021A	2022A	2023A	2024A	2025A
Debt/Equity	2.16	2.61	1.99	2.09	1.52
Debt/Assets	0.39	0.38	0.35	0.33	0.31
EBITDA/Int Exp	41.2x	40.7x	29.1x	0.0x	0.0x
Net Margin	25.9%	25.3%	25.3%	24.0%	26.9%
Current Ratio	1.1	0.9	1.0	0.9	0.9
Cash Flow to Debt Ratio	0.76	0.92	0.89	0.99	0.99

AI4Finance Foundation FinRobot Equity Research

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Data: Company Filings, FMP, Yahoo Finance, AI4Finance Estimates · Generated: 2026-04-29 23:05